

## NOTE 7 - continued

The table below describes the nature of the Group's leasing activities by type of right-of-use asset recognized on the balance sheet:

|                                        | <b>Vessels and<br/>capitalized<br/>dry-docking</b> | <b>Land and<br/>buildings</b> | <b>Other plant<br/>and operating<br/>equipment</b> |
|----------------------------------------|----------------------------------------------------|-------------------------------|----------------------------------------------------|
| No. of right-of-use assets leased      | 3                                                  | 10                            | 19                                                 |
| Range of remaining term                | 2 years                                            | 0-9 years                     | 0-3 years                                          |
| Average remaining lease term           | 2.3 years                                          | 2.8 years                     | 1.3 years                                          |
| No. of leases with extension options   | -                                                  | 10                            | 19                                                 |
| No. of leases with options to purchase | 3                                                  | -                             | -                                                  |
| No. of leases with termination options | 3                                                  | 2                             | 10                                                 |

Lease liabilities regarding right-of-use assets are included on the balance sheet under "Borrowings".

| USDm                                                          | <b>2019</b> | <b>2018</b> |
|---------------------------------------------------------------|-------------|-------------|
| <b>Maturity analysis - contractual undiscounted cash flow</b> |             |             |
| Less than one year                                            | 7.5         | 5.2         |
| One to five years                                             | 27.6        | 25.6        |
| More than five years                                          | 0.1         | -           |
| <b>Total undiscounted lease liabilities as of 31 December</b> | <b>35.2</b> | <b>30.8</b> |
| <b>Lease liabilities included under "Borrowings" as of 31</b> |             |             |
| <b>December</b>                                               | <b>30.6</b> | <b>25.3</b> |
| Non-current                                                   | 10.2        | 3.2         |
| Current                                                       | 20.4        | 22.1        |

Extension and termination options are included in several leases in order to optimize operational flexibility in terms of managing contracts. The lease term determined by TORM is the non-cancellable period of a lease, together with any extension/termination options if these are/are not reasonably certain to be exercised.

## NOTE 7 - continued

### Lease payments not recognized as a liability

The Group has elected not to recognize a lease liability for short-term leases (leases of an expected term of 12 months or less) or for leases of low value assets. Payments made under such leases are expensed on a straight-line basis. The expenses relating to payments not recognized as a lease liability are insignificant.

### Administrative expenses

The total outflow for leases, USD 2.9m, is presented as "Depreciation" of USD 2.5m and "Financial expenses" (interest) of USD 0.4m, in contrast to the recording of an operating lease charge of a materially equivalent figure within the line item "Administrative expenses" under IAS 17.

### Financial expenses

Financial expenses for the reporting periods:

| USDm                                              | <b>2019</b> | <b>2018</b> | <b>2017</b> |
|---------------------------------------------------|-------------|-------------|-------------|
| <b>Interest expenses:</b>                         |             | -           | -           |
| Financial expenses arising from lease liabilities |             |             |             |
| regarding right-of-use assets                     | 2.4         | 2.3         | 1.8         |
| Other financial expenses                          | 39.5        | 37.0        | 38.8        |
| <b>Total</b>                                      | <b>41.9</b> | <b>39.3</b> | <b>40.6</b> |